

unfolds, the model becomes operationally demanding. Company-owned networks carry higher fixed costs and require consistent throughput. In contrast, dealer-led models shift some risk to local entrepreneurs, who also bring deep service and financing relationships,” he says.

Ather’s Mehta says dealerships are disciplined about cost. “They have a sharp understanding of customer management, which most companies struggle with.”

PRICE WAR

Ola’s strategy of undercutting rivals also hit the industry hard. The price war forced legacy players to offer competitive prices.

Ather, however, remained unfazed by the price war. It avoided the sub-₹1 lakh segment, dominated by Ola. “The share of scooters priced below ₹1 lakh in the petrol segment has been shrinking rapidly. Why do we, as a new industry offering a more upgraded experience with electric scooters, need to sell in a segment the petrol customer is running away from?” says Mehta.

Aggarwal, too, seems to have learnt this the hard way. “We have lost some market share. Some because we have chosen to consolidate instead of spending on marketing and discounting,” Aggarwal said in an analyst call after the company announced its second quarter earnings. He said the electric two-wheeler market has not grown. EV penetration in two-wheelers has stagnated, especially after the GST reforms reduced prices of internal combustion engine vehicles.

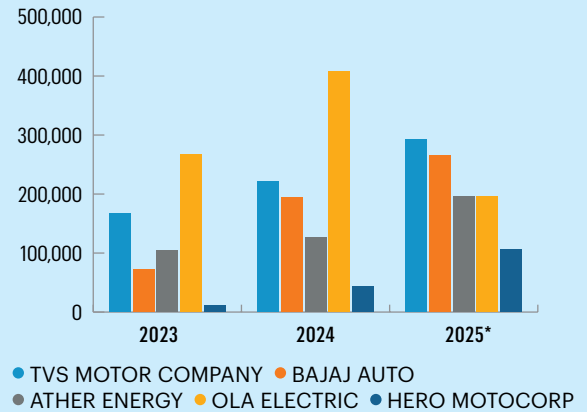
EV penetration was 4.6% in November 2025, the same as the corresponding month of the previous year. Sales of electric two-wheelers declined 2.5% YoY to 1.16 lakh units in November. “No matter what the others have also done, the market has not grown. So, buying market share at this point is not the right strategy. The segment which had to buy has bought and will come for repeat purchases in a few years. But the next set of customers wants an extra proposition, higher reliability. It is not like other products are meaningfully better than mine or their service network is meaningfully better,” said Aggarwal.

Ather’s Mehta says discounting has come down quite a lot. “It is healthy for the industry. I think the bulk of the discounting was focused on the sub-₹1 lakh segment. It has come down not because of one company’s action or another company’s response. Our assessment is that consumers never look at the lowest price. India will buy good products and not the cheapest bike or the cheapest car,” he says. “The discounting last year was focused on driving customers towards lowest priced e-scooters, lower than petrol scooters. I don’t feel the market rewarded that a lot,” he says.

Almost all growth is coming from over ₹1 lakh seg-

FALLING BEHIND

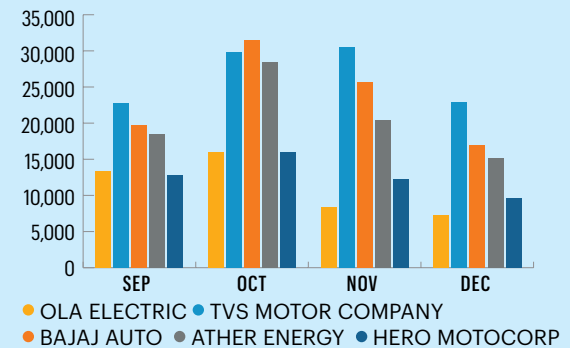
► Ather has overtaken Ola Electric in 2025



NOTE ELECTRIC TWO-WHEELER RETAIL; *TILL DECEMBER 23, 2025 **SOURCE** VAHAN

THE YEAR-END DIP

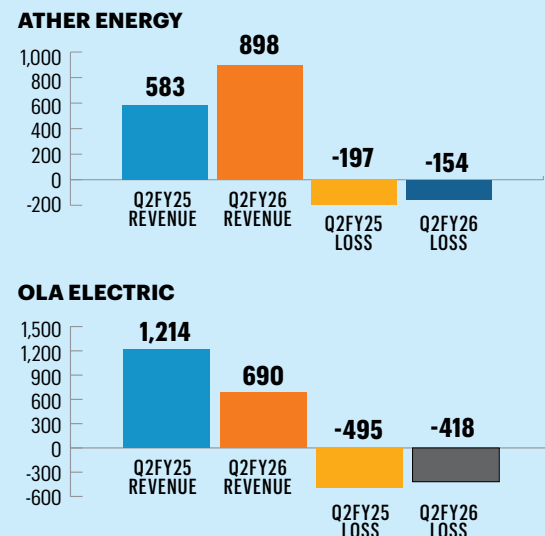
► Ola fell to the fifth spot in November and December



SOURCE VAHAN

CUTTING LOSSES

► Ola and Ather focus on margins to reduce losses



NOTE FIGURES IN ₹ CRORE **SOURCE** COMPANIES